

8.5 Property Management. The Premises shall be managed by a property management company that has (i) a good business and character reputation in the community, and (ii) proven property management experience with affordable housing developments.

8.6 Affordable Housing Restriction. The Authority and Tenant agree that the Premises shall be subject to an affordable housing restriction or Regulatory Agreement for the full Term of this Lease ensuring that _____ (___%) of the units on the Premises are rented to low and moderate tenants, as set forth in Section 9.2, binding the Premises and enforceable by the Authority for the Term of this Lease, qualifying under G.L. c. 184, §31, approved and enforceable by the Authority and EOHLC in the form required or recommended by EOHLC for including the units in the Authority's Subsidized Housing Inventory (the "**Restriction**"), which Restriction will be recorded with the Registry at Tenant's sole cost and before any leasehold mortgage (including any Permitted Mortgage), lien or other encumbrance is recorded against the Premises (unless each mortgage or lien holder executes a subordination agreement, acceptable to the Authority, expressly subordinating its mortgage or other lien to the Restriction), it being recognized that in no event will a foreclosure or deed given in lieu of any lien on the Premises result in the termination of the Restriction without the Authority's prior written consent, which may be withheld in its sole and absolute discretion. If EOHLC requires changes to the Restriction subsequent to its recordation, the Authority and Tenant agree to make such reasonable changes as are acceptable to the parties. No final certificate of occupancy shall be issued for any of the units unless and until the Restriction (or any amendment thereof) has been approved and executed by EOHLC and the Authority and recorded with the Registry.

8.7 Permitted Uses. Subject to Force Majeure and except during construction of the Initial Improvements and thereafter during reasonable periods of repair, remodeling and/or restoration, Tenant covenants and agrees to continuously and uninterruptedly use the Premises for the Permitted Uses.

ARTICLE 9 - RESIDENT SELECTION; COMMITMENTS

9.1 Resident Selection. Tenant shall submit to EOHLC for approval of the resident selection policies for the affordable rental housing units (the resident selection policies approved by EOHLC are hereinafter referred to as the "**Tenant Selection Plan**"). Tenant shall promptly adopt the Resident Selection Plan. The Authority intends to obtain approval from EOHLC for a local preference for Hingham residents and/or employees of businesses of the Authority, to the extent permitted by the Legal Requirements. In the event a local preference is approved by EOHLC, such local preference shall be included in the Tenant Selection Plan.

9.2 Affordability Commitments. Tenant agrees that, from the Commencement Date to the Termination Date, and through any date through which Tenant remains in occupancy of the Premises, Tenant shall use the Property for and operate thereon a rental housing development that meets the requirements of this Section 9 (the "**Affordability Commitments**") based on the following schedule,:

- (a) _____ (___) units shall be available for rent to persons with annual household incomes at or below _____ percent (___%) of the area median annual income;

- (b) _____ (____) units shall be available for rent to persons having with annual household incomes of no more than _____ percent (____%) of the area median annual income; and
- (c) _____ (____) units shall be available for rent to persons with annual household incomes of no more than _____ percent (____%) of the area median annual income.

For the purpose of this Section 9.2, “**area median income**” shall mean the standard defined from time to time by the Department of Housing and Urban Development (or any successor thereto) as adjusted for household size, or, if defined differently in Section 42, then in accordance with the requirements, from time to time, of Section 42, and acceptable for inclusion of all the Units in the Authority’s Subsidized Housing Inventory.

Tenant shall ensure that all the units at the Premises are of comparable quality, and, to the greatest extent practicable, units leased to households of all different income tiers shall be dispersed evenly throughout the Premises.

9.3 Monitoring. Tenant covenants to work with EOHLC or an entity acceptable to EOHLC for purposes of monitoring Tenant’s compliance with the Affordability Commitments and other applicable program requirements associated with the financing of the Project (the “**Monitoring Agent**”). Tenant agrees to provide the Monitoring Agent such certifications, information, and/or reports as the Authority or the Monitoring Agent may reasonably require in writing in order to ensure compliance with the Affordability Commitments. Tenant shall notify the Authority and the Monitoring Agent in writing if Tenant discovers non-compliance with the Restriction and any of the requirements hereof. Tenant shall keep full, complete and proper books and records of all information and data collected from all resident households to assure that each resident household satisfies the Affordability Commitments, including without limitation the names and ages of members of each tenant household, which books and records shall be available at all reasonable times to the Monitoring Agent during regular business hours, all in compliance with applicable laws.

ARTICLE 10 - DAMAGE OR DESTRUCTION

10.1 Damage or Destruction. Subject to the requirements of any documents evidencing, relating to or securing any financing held by a Permitted Mortgagee (as defined in Section 13.2), if the whole or any part of the Premises be damaged or destroyed by any cause whatsoever, whether insured or uninsured, at any time during the Term of this Lease, Tenant shall, irrespective of insurance proceeds, promptly commence to replace or repair the portion of the Premises that is damaged or destroyed, and complete such repair and/or restoration with due diligence and at its sole cost and expense, with such changes, alterations or modifications as are reasonably determined by Tenant so long as such changes, alterations or modifications do not diminish the overall utility for the Permitted Uses or constitute Material Modifications. The parties recognize that such damage or destruction may require emergency replacement or repair. Subject to the requirements of any documents evidencing or securing any financing held by a Permitted Mortgagee, Tenant shall have the right to hold, use and expend such insurance

proceeds or other funds so collected for purposes of the repair, restoration or reconstruction of the Improvements, provided, however, that in the event that a casualty occurs during the last three (3) years of the Lease term, all funds shall be paid to the Authority. Subject to the foregoing, Tenant will be entitled to all insurance proceeds and proceeds of any other claims against other parties in order to effect such replacement, modifications or alterations. Provided that the insurance proceeds, together with such funds of the Tenant as are demonstrably available for the purpose of paying for repair and restoration, are sufficient to complete the repair and restoration of the Improvements, the Authority shall have no right to terminate this Lease or condition or delay the repair and restoration of the Improvements.

However, if the Premises are substantially damaged, and the insurance proceeds are required to be paid to any Permitted Mortgagee to repay the indebtedness secured by the Permitted Mortgage, Tenant's obligation to rebuild the Premises shall be limited to the amount of the proceeds received by Tenant from the insurer (the "**Remaining Proceeds**"). If in such case Tenant reasonably determines that the continued operation of the Premises after such replacement and repair in substantially the same manner as conducted prior to the damage or destruction will not be economic and feasible, then Tenant may elect, by written notice given to the Authority within one hundred eighty (180) days after the date of such casualty, not to repair or replace the portion of the Premises damaged (the "**Casualty Termination Notice**"), provided, however, that Tenant shall (a) at the Authority's request, demolish any destroyed buildings and secure any damaged buildings, in each case to a safe condition reasonably satisfactory to the Authority and in compliance with the Legal Requirements, and (b) deliver to the Authority the Remaining Proceeds and assign to the Authority all its right, title and interest to any other insurance proceeds as may be available. Tenant will vacate the Premises within sixty (60) days from delivery of the Casualty Termination Notice to the Authority, whereupon this Lease shall terminate. Tenant's obligations under this Section 10.1 shall survive the termination of the Lease.

10.2 Allocation of Proceeds. Subject to the requirements of any documents evidencing or securing any financing held by a Permitted Mortgagee, all insurance proceeds or proceeds of any claim for any damage or destruction to the Improvements, shall, notwithstanding any allocation made by the payor, be paid and allocated in the following order of priority:

- (a) First, to pay all reasonable fees and expenses of collection, including but not limited to, reasonable attorneys' fees and experts' fees, or to reimburse the parties for fees and expenses of collection previously paid by such party;
- (b) Second, to pay any then-outstanding Impositions;
- (c) Third, to pay for any restoration, repair or reconstruction authorized or required pursuant to the provisions of this Lease;
- (d) Fourth, to pay any outstanding amounts secured by mortgages held by any Permitted Mortgagees in their respective order of priority and to the extent required under each such mortgage, provided, however, that if the proceeds are insufficient to pay outstanding amounts owed to all Permitted Mortgagees, then the Tenant shall distribute the funds to Permitted Mortgagees in their respective order of priority and to the extent required under the applicable mortgage; and

- (e) Fifth, to Tenant, from which the Tenant shall be required to pay any then-outstanding Rent pursuant to this Lease; provided, however, that in the case of proceeds of any award for a damage or destruction received at any time during the last ten (10) years of the Term, Tenant shall receive the equivalent of one-tenth of the amount remaining from such proceeds after payments pursuant to (a) through (d) above, multiplied by the number of years remaining in the Term, and the remainder of proceeds shall be paid to the Authority.

In the event that the foregoing provides or is anticipated to provide compensation to any party in excess of the funds loaned or invested by such party, the Authority and the Tenant shall negotiate in good faith to revise such allocation of proceeds.

Notwithstanding the foregoing, any insurance proceeds or proceeds of any claim for any damage or destruction to the Improvements shall be subject to the provisions of Exhibit C.

ARTICLE 11 - TAKING

11.1 Award. In the event that the Premises, or any part thereof, shall be taken in condemnation proceedings or by exercise of any right of eminent domain or by agreement between the Authority and Tenant and those authorized to exercise such right (any such matters being herein referred as a “**Taking**”), the Authority and Tenant shall have the right to participate in any Taking proceedings or agreement for the purpose of protecting their respective interests hereunder. Each party so participating shall pay its own expenses therein.

11.2 Termination. (a) If at any time during the Term of this Lease there shall be a Taking of the whole or substantially all of the Premises, this Lease shall terminate and expire on the earlier of (i) the date upon which the condemning authority takes possession of the real estate subject to the Taking; or (ii) the date title to the real estate is vested in the condemning authority. For the purpose of this Article, “**substantially all of the Premises**” shall be deemed to have been taken if the untaken part of the Premises shall be insufficient for the restoration of the Improvements such as to allow the economic and feasible operation of fifty percent (50%) or more of the units by Tenant. If substantially all of the Premises shall be taken, and Tenant elects not to terminate this Lease, any requirement by the Authority to operate _____ (____) residential units shall be reduced accordingly. All proceeds of any award for any taking, whether pro tanto or final, shall, notwithstanding any allocation made by the awarding authority, be paid and allocated in accordance with the provisions of Section 10.2 (a) through (d) of this Lease, and any remainder shall be allocated between the Authority and Tenant in proportion to their respective interests, determined as follows: Tenant’s interest in any Taking award will equal the net value to Tenant of the remaining Term of this Lease, the value to Tenant of the use and enjoyment of the Improvements, and Tenant’s relocation expenses insofar as relocation expenses are paid by the Taking authority (collectively, the “**Tenant’s Share**”). The Authority’s interest in any taking by Condemnation will equal the value of its fee interest plus the remaining interest in the Improvements (the “**Authority’s Share**”). Notwithstanding the foregoing, however, the Authority shall not share in any Taking award with respect to the Improvements unless and until the unpaid balance of the Permitted Mortgages on the Premises, if any, is paid in full, all such Taking proceeds being used first to pay off and discharge such Permitted Mortgage.

(b) No such termination of this Lease under this Article 11 shall release Tenant from any obligation hereunder for Rent accrued or payable for or during any period prior to the effective date of such termination, and any prepaid rent and insurance premiums beyond the effective date of such termination shall be adjusted.

11.3 Insubstantial Taking. If a portion of the Premises is taken and Section 11.2 does not apply, then this Lease will automatically terminate on the date of the Taking only as to the portion of the Premises taken and this Lease will continue in full force and effect with respect to the remaining portion of the Premises. In such event, any partial Taking award shall be paid first to the Permitted Mortgagees, in their order of priority, to satisfy or reduce the balance secured by Permitted Mortgages; second, to Tenant in an amount equal to the unamortized cost of any Improvements constructed by Tenant on the portion of the Premises subject to the Taking; and third, to the Authority. Provided that the amount of the Taking award available for reconstruction, together with such funds of the Tenant as are demonstrably available for the purpose of paying for repair and restoration, are sufficient to complete reconstruction contemplated by the plans and specifications, the Authority shall have no right to terminate this Lease or condition or delay Tenant's reconstruction of the Improvements, provided that Tenant undertakes and completes the repair/restoration using commercially diligent efforts.

11.4 Temporary Taking. If the whole or any part of the Premises shall be the subject of a temporary Taking of ninety (90) days or less, this Lease shall remain in full force, and Tenant shall be entitled to receive the entirety of any award so made for the period of the temporary Taking which is within the Term.

Notwithstanding the foregoing, any insurance proceeds or proceeds of any claim for any damage or destruction to the Improvements shall be subject to the provisions of Exhibit C.

ARTICLE 12 – HAZARDOUS MATERIALS

12.1 Environmental Laws Defined. “**Environmental Laws**” means, collectively, any federal, state, or local law, rule or regulation (whether now existing or hereafter enacted or promulgated, as they may be amended from time to time) pertaining to environmental regulations, contamination, clean-up or disclosures, and any judicial or administrative interpretation thereof, including any judicial or administrative orders or judgments, including, without limitation, the Comprehensive Environmental Response, Compensation and Liability Act of 1980, 42 U.S.C. §§ 9601 et seq. (“**CERCLA**”); the Resource Conservation and Recovery Act, 42 U.S.C. §§ 6901 et seq. (“**RCRA**”); the Clean Water Act, 33 U.S.C. §§ 1251 et seq.; the Clean Air Act, 42 U.S.C. §§ 7401 et seq.; the Superfund Amendments and Reauthorization Act of 1986, 42 U.S.C. §§ 9601 et seq. (“**SARA**”); the Toxic Substances Control Act, 15 U.S.C. §§ 2601 et seq. (“**TSCA**”); the Hazardous Materials Transportation Act, 49 U.S.C. Appx. §§ 1801 et seq.; the Massachusetts Hazardous Waste Management Act, Mass.Gen.L. c. 21C §§ 1 et seq.; the Massachusetts Oil and Hazardous Material Release Prevention and Response Act, Mass.Gen.L. c. 21E §§ 1 et seq.; the Massachusetts Toxic Use Reduction Act, Mass.Gen.L. c. 21I §§ 1 et seq.; the Underground Storage Tank Petroleum Product Cleanup Fund, Mass.Gen.L. c. 21J §§ 1 et seq.; or any other applicable federal or state statute or city or county ordinance regulating the generation, storage, containment or disposal of any Hazardous Material (defined in Section 12.4 below) or providing for the protection, preservation or enhancement of the natural environment, any rules or regulations promulgated pursuant to any of the foregoing statutes or ordinances,

including but not limited to laws relating to groundwater and surface water pollution, air pollution, transportation, storage and disposal of oil and hazardous wastes, substances and materials, stormwater drainage, and underground and above ground storage tanks; and any amendments, modifications or supplements of any such statutes, ordinances, rules and regulations.

12.2 Tenant's Environmental Representations, Warranties and Covenants. Tenant hereby represents, warrants and covenants as follows:

(a) Except as may be permitted by and only in accordance with Environmental Laws, Tenant shall not allow any Hazardous Materials (defined in Section 12.4 below) to exist or be stored, located, discharged, possessed, managed, processed, or otherwise handled on the Premises, and shall strictly comply with all Environmental Laws affecting the Premises. Without limiting the generality of the foregoing, Tenant is not, and will not become, involved in operations at the Premises involving Hazardous Materials, except as expressly permitted by Legal Requirements.

(b) No activity shall be undertaken on the Premises by Tenant which would cause (i) the Premises to be considered a hazardous waste treatment, storage or disposal facility as defined under any Environmental Laws; (ii) a release or threatened release of Hazardous Materials into the Premises, any watercourse, surface or subsurface water or wetlands, or the discharge into the atmosphere of any Hazardous Materials in each case requiring a permit under any Environmental Laws and for which no such permit has been issued.

(c) Tenant shall, with all due diligence, at its own cost and expense and in accordance with Environmental Laws (and in all events in a manner reasonably satisfactory to the Authority), take all actions (to the extent and at the time or from time to time) as shall be necessary or appropriate for the remediation of all releases of Hazardous Materials at or from the Premises including all removal, containment and remedial actions. Tenant shall pay or cause to be paid at no expense to the Authority all clean-up, administrative, and enforcement costs of applicable government agencies or the parties protected by such Environmental Laws which may be asserted against the Premises.

(d) Tenant, upon execution of this Lease, shall furnish the Authority with a copy of any Material Safety Data Sheets and any updates thereto or any list of substances listed on the so-called Massachusetts Substance List, established pursuant to Mass. Gen. Laws Chapter 111F which Tenant is required to prepare, file or maintain pursuant to said chapter for any substances used or stored on the Premises. If said Material Safety Data Sheets or lists should be changed or updated during the Term of this Lease, Tenant shall promptly furnish a copy of such updated or changed Material Safety Data Sheets or list to the Authority.

12.3 Intentionally Deleted.

12.4 Hazardous Materials Defined. For purposes of this Lease, "**Hazardous Materials**" shall mean, but shall not be limited to, any oil, petroleum product and any hazardous or toxic waste or substance, any substance which because of its quantitative concentration, chemical, radioactive, flammable, explosive, infectious or other characteristics, constitutes or may reasonably be expected to constitute or contribute to a danger or hazard to public health,

safety or welfare or to the environment, including without limitation any asbestos (whether or not friable) and any asbestos-containing materials, lead paint, waste oils, solvents and chlorinated oils, polychlorinated biphenyls (PCBs), toxic metals, explosives, reactive metals and compounds, pesticides, herbicides, radon gas, urea formaldehyde foam insulation and chemical, biological and radioactive wastes, or any other similar materials which are included under or regulated by any Environmental Law.

12.5 Notices. (a) Tenant shall provide the Authority with copies of any notices of releases of Hazardous Materials which are given by or on behalf of Tenant to any federal, state or local agencies or authorities with respect to the Premises. Such copies shall be sent to the Authority concurrently with mailing or delivery to the governmental agencies or authorities. Tenant also shall provide the Authority with copies of any notices of responsibility or any other notices received by or on behalf of Tenant from any such agencies or authorities concerning any non-compliance with Environmental Laws on or about the Premises, including but not limited to notices regarding Hazardous Materials or substances located on or about the Premises. In addition, in connection with any litigation or threat of litigation affecting the Premises, Tenant shall deliver to the Authority any documentation or records as the Authority may reasonably request and which are in Tenant's possession, and the Authority shall deliver to Tenant any documentation or records as Tenant may reasonably request and which are in the Authority's possession and may be lawfully delivered to Tenant.

(b) Tenant or the Authority shall immediately notify the other party and Permitted Mortgagees in writing should Tenant or the Authority become aware of (i) any release or threatened release of Hazardous Materials or the occurrence of any other environmental problem or liability with respect to the Premises or any real property adjoining or in the vicinity of the Premises or such other property which could subject the Authority, Tenant or the Premises to a Claim under any Environmental Laws or to any restriction in ownership, occupancy, transferability or use of the Premises under any Environmental Laws; (ii) any lien filed, action taken or notice given of the nature described in this Section 12; (iii) any notice given to Tenant from any occupant of the Premises or any notice from any governmental authority with respect to any release or threatened release of Hazardous Materials; or (iv) the commencement of any litigation or any information relating to any threat of litigation relating to any alleged unauthorized release of any Hazardous Materials or other environmental contamination, liability or problem with respect to or arising out of or in connection with the Premises.

12.6 Tenant's Environmental Indemnity. Tenant hereby presently, unconditionally, irrevocably and absolutely agrees to pay, indemnify, defend with counsel acceptable to the Authority and save harmless the Authority Parties for, from and against any and all Claims (including, without limitation, attorneys' and experts' fees and expenses, clean-up costs, waste disposal costs and those costs, expenses, penalties and fines within the meaning of CERCLA), of any kind or nature whatsoever which may at any time be imposed upon, incurred by or asserted or awarded against any of the Authority Parties and arising from any violation or alleged violation of Environmental Laws, the discovery of or any release of Hazardous Materials on or from the Premises, any environmental problem or other environmental matter described herein relating to the Premises, or as a consequence of any of Tenant's interest in or operation of the Premises, including, without limitation, matters arising out of any breach of Tenant's covenants, representations and warranties. All warranties, representations and obligations set forth herein shall be deemed to be continuing and shall survive the expiration or termination of this Lease. In

addition, the covenants and indemnities of Tenant contained herein shall survive any exercise of any remedy by the Authority under the Lease. Tenant agrees that the indemnification granted herein may be enforced by any of the Authority Parties, provided, however, that nothing contained herein shall prevent the Authority from exercising any other rights under the Lease.

ARTICLE 13 - TRANSFER OF TENANT'S INTEREST

13.1 Assignment by Tenant. Except as provided in Section 13.2, Tenant will not assign this Lease or any interest in this Lease or sublet or permit any other person to occupy or use the Premises or any portion thereof (except for leasing the units to income qualified households) prior to the Final Completion of the Initial Improvements without the prior written consent of the Authority, which consent may be withheld in the Authority's sole and absolute discretion. After Final Completion of the Initial Improvements, the Authority's consent shall not be unreasonably withheld, delayed or conditioned provided such assignee or transferee shall (i) have a good reputation in the community and experience operating projects similar to the Project, (ii) use the Premises for the Permitted Uses, and (iii) enter into an Assumption Agreement with the Authority, expressly assuming Tenant's obligations under the Lease. Notwithstanding the foregoing, Tenant shall have the right to assign or transfer its rights under this Lease to any entity that Tenant controls, provided that (i) Tenant sends written notice to the Authority at least thirty (30) days prior to any such transfer, notifying the Authority of the transferee's name and evidence of the control that Tenant exercises over such transferee, and obtains the Authority's written consent, not to be unreasonably withheld, (ii) any such transferee enters into an Assumption Agreement, expressly agreeing to perform all of Tenant's obligations under this Lease; and (iii) Tenant shall guarantee the transferee's performance of such obligations, and shall be jointly and severally liable with the transferee until a final certificate of occupancy has been issued for all the units.

13.2 Leasehold Mortgages. (a) Notwithstanding anything to the contrary contained in this Lease, Tenant may, upon prior written notice to the Authority, from time to time, encumber, hypothecate or mortgage its interest in the Premises with one or more mortgages, assignments of leasehold interest or any other security instruments in favor of a lender or lenders as partial security for a loan or loans (a "**Permitted Mortgage**" and the holder of such Permitted Mortgage, a "**Permitted Mortgagee**"). Each such Permitted Mortgage shall mature no later than the last day of the term of this Lease, be a leasehold mortgage only, and be expressly subject and subordinate to the terms and conditions of this Lease, including, without limitation, the Affordability Commitments. In no event will the foreclosure of any Permitted Mortgage or deed given in lieu thereof terminate or adversely affect the Affordability Commitments. It is expressly understood and agreed that Tenant has no right to mortgage or otherwise encumber the fee title to the Premises, except that Tenant may encumber the Improvements that Tenant constructs on the Premises. Tenant shall promptly deliver to the Authority a true copy of the Permitted Mortgage and any assignment thereof. Tenant shall notify the Authority of the address of the Permitted Mortgagee to which notices may be sent, it being understood and agreed that the Authority shall have no obligation to notify a Permitted Mortgagee of any default under this Lease until and unless the then-current address of such Permitted Mortgagee shall have been provided to the Authority in writing. The Authority and Tenant hereby agree that there shall be no modification of this Lease that would materially and adversely affect such Permitted Mortgagee's rights hereunder without the prior consent in writing of the Permitted Mortgagee.

(b) Permitted Mortgages not Assignment. For the purpose of this Section 13, the making of a Permitted Mortgage shall not be deemed to constitute an assignment or transfer of this Lease, nor shall any Permitted Mortgagee, as such, be deemed an assignee or transferee of this Lease or of the leasehold estate hereby created so as to require such Permitted Mortgagee, as such, to assume the performance of any of the terms, covenants or conditions on the part of Tenant to be performed hereunder; but the purchaser at any sale of the leasehold interest created by this Lease in any proceedings for the foreclosure of any Permitted Mortgage, or the assignee or transferee of such leasehold interest under any instrument of assignment or transfer in lieu of the foreclosure of any Permitted Mortgage, shall be deemed to be an assignee or transferee (without requiring the consent of the Authority pursuant to Section 13.1) and shall be deemed to have assumed the performance of all of the terms, covenants and conditions on the part of Tenant to be performed hereunder from and after the date of such purchase and assignment, and shall execute a written instrument assuming Tenant's obligations hereunder promptly upon request by the Authority.

(c) Permitted Mortgagee Cure Rights. In the event Tenant defaults in the payment of Rent or any other sum of money payable under this Lease, in obtaining and/or maintaining the insurance required hereunder, or any other default or failure curable by a payment of money (any and all of the foregoing, a "**Monetary Default**"), the Authority shall not have the right to terminate this Lease unless the Authority shall have given a copy of the Monetary Termination Notice (defined in Section 14.2) to Tenant and the Permitted Mortgagees, and such Permitted Mortgagees, without being under any obligation to do so, shall have failed to cure such Monetary Default within the sixty (60)-day notice period set forth in the Monetary Termination Notice (defined in Section 14.2). In the case of any default by the Tenant not curable by the payment of money hereunder (a "**Non-Monetary Default**"), the Authority shall not have the right to terminate this Lease by reason of any such default unless the Authority shall have given a copy of the Non-Monetary Termination Notice (defined in Section 14.2) to Tenant and the Permitted Mortgagees and such Permitted Mortgagees, without being under any obligation to do so, shall have failed to cure such Non-Monetary Default with the ninety (90) day-period set forth in Section 14.2, or, if such Non-Monetary Default cannot reasonably be cured within such ninety (90) days, within such longer period as is required to cure such default, including such period of time as may reasonably be required for Permitted Mortgagee to obtain possession of the Premises or title to the Tenant's leasehold estate created hereby, provided that the Permitted Mortgagee shall have commenced cure or appropriate measures to obtain possession of the Premises or title to the Tenant's leasehold estate created hereby within such ninety (90)-day period and thereafter continues diligently to effect such cure or obtain such possession or title. The Permitted Mortgagee shall not be required to continue such foreclosure proceedings if the default shall be cured by Tenant. Upon the expiration of any applicable cure period, the Authority shall notify the Permitted Mortgagee whether or not Tenant has effectuated a cure within said cure period. The provisions of this Section 13.2(c) are conditioned on the following provisions:

(i) Acquisition of Possession. The Permitted Mortgagee shall, within forty-five (45) days after notice of such Tenant Non-Monetary Default, notify the Authority of its election to proceed with due diligence promptly to acquire possession of the Premises or to foreclose the Permitted Mortgage or otherwise to obtain ownership of Tenant's interest in this Lease. Such notice from the Permitted Mortgagee shall be accompanied by an instrument in writing wherein such Permitted Mortgagee agrees that:

(A) during the period that such Permitted Mortgagee shall be in possession of the Premises and so long as it remains in possession and/or during the pendency of any such foreclosure or other proceedings and until the interest of Tenant in this Lease shall terminate or such proceeding shall be discontinued, it will pay or cause to be paid to the Authority and to others all sums from time to time becoming due hereunder during such period; and

(B) if delivery of possession of the Premises shall be made to such Permitted Mortgagee, whether voluntarily or pursuant to any foreclosure or other proceedings or otherwise, such Permitted Mortgagee shall, promptly following such delivery of possession, perform all the covenants and agreements thereafter arising and herein contained on Tenant's part to be performed (including, but not limited to the Affordability Commitments and the payment of Rent and Additional Rent) except such covenants and agreements which cannot with the exercise of due diligence be performed by such Permitted Mortgagee (such as a default under Section 14.1(e)). Nothing in this subclause (B) shall be construed to require such Permitted Mortgagee to perform any of the Tenant's obligations hereunder accruing after such Permitted Mortgagee ceases to be in possession.

ARTICLE 14 – DEFAULT AND TERMINATION

14.1 Events of Default. Each of the following events shall be deemed an “***Event of Default***” hereunder:

(a) if Tenant shall fail to pay, as and when due, any payment of Rent or other sums payable under this Lease or to observe any provision that is curable by a payment of money, and such failure shall continue for a period of thirty (30) days after notice from the Authority to Tenant;

(b) if Tenant shall fail to comply with the provisions of Sections 8.2 or 9.2 hereof, and such failure shall continue for a period of sixty (60) days after notice from the Authority to Tenant;

(c) If Tenant shall fail to maintain any insurance required to be maintained by Tenant hereunder, and such failure shall continue for a period of thirty (30) days after notice from the Authority to Tenant;

(d) if Tenant shall fail to perform or comply with any other of the agreements, terms, covenants or conditions in this Lease, other than those referred to in subsections (a), (b) and (c) of this Section 14.1, for a period of sixty (60) days after notice from the Authority to Tenant specifying the items in default, or in the case of a default or a contingency which cannot with due diligence be cured within such sixty (60) day period, within ninety (90) days from the date of notice from Authority to Tenant; and/or

(e) if Tenant shall initiate the appointment of a receiver to take possession of all or any portion of the Premises or Tenant's leasehold estate for whatever reason, or Tenant shall make an assignment for the benefit of creditors, or Tenant shall initiate voluntary proceedings under any bankruptcy or insolvency law or law for the relief of debtors; or if there shall be

initiated against Tenant any such proceedings which are not dismissed or stayed on appeal or otherwise within ninety (90) days, or if, within ninety (90) days after the expiration of any such stay, such appointment shall not be vacated or stayed on appeal.

Notwithstanding the foregoing, if there is an Event of Default under subsections 14.1(b) and (d) and such Event is caused primarily because of a Force Majeure event, then such Event of Default shall be excused only for the period of delay caused by the Force Majeure event.

14.2 Remedies. Upon an Event of Default, the Authority at any time thereafter may give written notice to Tenant specifying such Event or Events of Default and stating that this Lease and the Term hereby demised shall expire and terminate on the date specified in such notice, which shall be least sixty (60) days after the giving of such notice if the Event of Default is a Monetary Default (the “**Monetary Termination Notice**”), and which shall be at least ninety (90) days for Non-Monetary Defaults (the “**Non-Monetary Termination Notice**”), subject to the rights for notice and cure for the Permitted Mortgagees as set forth in Section 13.2(c). Upon the date specified in such Monetary Termination Notice or the Non-Monetary Termination Notice, as the case may be, this Lease and the Term hereby demised and all rights of Tenant under this Lease shall expire and terminate (unless prior to the date specified for termination the Event or Events of Default shall have been cured, in which case this Lease shall remain in full force and effect), and Tenant shall remain liable as hereinafter provided. In the event that Tenant and the Permitted Mortgagees elect not to remove the Improvements, as provided in Section 15, all Improvements shall become the property of the Authority without the necessity of any deed or conveyance from Tenant to the Authority. Tenant agrees upon request of the Authority to immediately execute and deliver to the Authority any deeds, releases or other documents deemed necessary by the Authority to evidence the vesting in the Authority of the ownership of all Improvements. Upon such termination, the Authority may re-enter the Premises and dispossess Tenant and anyone claiming by, through or under Tenant by summary proceedings or other lawful process.

14.3 Authority’s Right To Perform Tenant’s Covenants. (a) Upon any Event of Default, the Authority may, but shall be under no obligation to, cure such default. The Authority may enter upon the Premises (after five (5) days’ written notice to Tenant except in the event of emergency) for any such purpose, and take all such action thereon, as may be necessary.

(b) The Authority shall not be liable for inconvenience, annoyance, disturbance or other damage to Tenant or any operator or occupant thereof by reason of making such repairs or the performance of any such work, or on account of bringing materials, tools, supplies and equipment onto the Premises during the course thereof, and the obligations of Tenant under this Lease shall not be affected thereby. The Authority shall minimize interference with or disruption of Tenant or Tenant’s business, occupants, operators and or lessees.

(c) All reasonable sums so paid by the Authority and all reasonable costs and expenses incurred by the Authority, including reasonable attorneys’ fees and expenses, in connection with the performance of any such act, together with interest at the Default Rate from the date of such payment or incurrence by the Authority of such cost and expense until the date paid in full, shall be paid by Tenant to the Authority, as Additional Rent, on demand. If the Authority shall exercise its rights under this Section to cure a default of Tenant, Tenant shall not be relieved from the obligation to make such payment or perform such act in the future, and the

Authority shall be entitled to exercise any remedy contained in this Lease if Tenant shall fail to pay such obligation to the Authority upon demand.

14.4 No Waiver. No failure by either the Authority or Tenant to insist upon the strict performance of any agreement, term, covenant or condition hereof or to exercise any right or remedy consequent upon a breach thereof, and no acceptance of full or partial Rent during the continuance of any such breach, shall constitute a waiver of any such breach or of such agreement, term, covenant or condition. No agreement, term, covenant or condition hereof to be performed or complied with by either the Authority or Tenant, and no breach thereof, shall be waived, altered or modified except by a written instrument executed by the other party. No waiver by the Authority or Tenant of any breach shall affect or alter this Lease, but each and every agreement, term, covenant and condition hereof shall continue in full force and effect with respect to any other then existing or subsequent breach thereof.

14.5 Injunctive Relief. In the event of any breach by Tenant of any of the agreements, terms, covenants or conditions contained in this Lease, the Authority shall be entitled to enjoin such breach and shall have the right to invoke any right and remedy allowed at law or in equity or by statute or otherwise as though re-entry, summary proceedings, and other remedies were not provided for in this Lease.

14.6 Remedies Cumulative. Each right and remedy provided for in this Lease shall be cumulative and shall be in addition to every other right or remedy provided for in this Lease or now or hereafter existing at law or in equity or by statute or otherwise, and the exercise or beginning of the exercise by the Authority or Tenant of any one or more of the rights or remedies provided for in this Lease or now or hereafter existing at law or in equity or by statute or otherwise shall not preclude the simultaneous or later exercise by the party in question of any or all other rights or remedies provided for in this Lease or now or hereafter existing at law or in equity or by statute or otherwise.

14.7 Authority Default. The Authority shall not be in default of any of its material obligations under this Lease unless and until Tenant shall have given written notice to the Authority specifying the nature of such default and the Authority shall have failed to cure the same within ninety (90) days from the date of said notice, provided that if such default cannot reasonably be cured within said ninety (90)-day period, if the Authority shall have failed to commence the cure within the ninety (90)-day period and thereafter completed the same within a reasonable period of time.

ARTICLE 15 - SURRENDER; HOLD-OVER

15.1 Surrender. (a) Tenant shall on the last day of the Term, or upon any earlier termination of this Lease, have the right, but not the obligation, to remove any Improvements made by Tenant from the Premises. Tenant shall quit and peacefully surrender and deliver up the Premises, including the Improvements (if Tenant elects not to remove the same), subject to the rights of a Permitted Mortgagee hereunder, to the possession and use of the Authority without delay and in good order, condition and repair (excepting only reasonable wear and tear and damage from a Taking or from a fire or other casualty after the last repair, replacement, restoration or renewal required to be made by Tenant, all as provided under this Lease). The Premises shall be surrendered free and clear of all liens and encumbrances other than those

existing at the commencement of the Term or those created or suffered by the Authority. Upon or at any time after the expiration or earlier termination of this Lease, the Authority shall have, hold and enjoy the Premises and the right to receive all income from the same.

(b) Tenant shall, within sixty (60) days after the expiration or earlier termination of this Lease, remove from the Premises all the Improvements (as provided in Section 15.1(a)) and other personal property, repair any damage to the Premises caused by such removal, unless the Authority permits such property to remain, and restore the Premises to the condition they were in as of the Commencement Date.

15.2 Holdover. If Tenant or any party claiming by, through or under Tenant, retains possession of the Premises or any part thereof after the expiration or earlier termination of this Lease, then the Authority may, at its option, serve written notice upon Tenant that such holding over constitutes (i) an Event of Default under the Lease, or (ii) a month-to-month tenancy, upon the terms and conditions set forth in this Lease, or (iii) the creation of a tenancy-at-sufferance, in any case upon the terms and conditions set forth in this Lease. Tenant shall also pay to the Authority all damages sustained by the Authority resulting from retention of possession by Tenant. The provisions of this Section 15.2 shall not constitute a waiver by the Authority of any right of re-entry as set forth in this Lease; nor shall receipt of any Rent or any other act in apparent affirmance of the tenancy operate as a waiver of the Authority's right to terminate this Lease for a breach of any of the terms, covenants, or obligations herein on Tenant's part to be performed.

15.3 Survival. The provisions of this Article 15 shall survive the expiration or earlier termination of this Lease.

ARTICLE 16 - ESTOPPEL CERTIFICATES

The Authority and Tenant promptly shall execute and deliver to each other or to any Permitted Mortgagee, within fifteen (15) business days after request, a certificate as to matters customarily requested in connection with estoppel certificates, including, without limitation, whether or not (i) the Lease is in full force and effect, (ii) the Lease has been modified or amended in any respect and describing such modifications or amendments, if any, and (iii) there are any existing defaults thereunder to the knowledge of the party executing the certificate, and specifying the nature of such defaults, if any. Any such certificate may be relied upon by the Authority, Tenant, any Permitted Mortgagee, and any transferee or assignee of a Permitted Mortgagee.

ARTICLE 17 - NON-DISCRIMINATION COVENANTS

17.1 Non-Discrimination. With respect to its exercise of all rights and privileges granted herein, Tenant agrees that Tenant, its successors in interest, sublessees, licensees, operators, and assigns shall not discriminate against any person, employee, or applicant for employment because of race, color, creed, religion, national origin, age, sex, sexual orientation, marital status, handicap, veteran status or any other basis prohibited by law in Tenant's use of the Premises, including the hiring and discharging of employees, the provision or use of services, and the selection of suppliers and contractors.

17.2 Non-Compliance. Tenant shall defend, indemnify and hold the Authority Parties harmless from and against any and all Claims of third persons resulting from Tenant's non-compliance with any of the provisions of this Article 17.

ARTICLE 18 - MISCELLANEOUS

18.1 Amendments to Lease. This Lease may not be amended, modified, supplemented or extended except by a written instrument executed by the Authority and Tenant.

18.2 Notices. Any and all notices, demands, requests, submissions, approvals, consents, disapprovals, objections, offers or other communications or documents required to be given, delivered or served, or which may be given, delivered or served, under or by the terms and provisions of this Lease or pursuant to law or otherwise, shall be in writing and shall be delivered by hand, nationally recognized overnight express commercial service such as "Federal Express" (in either case with evidence of delivery or refusal thereof) or by registered or certified mail, return receipt requested, addressed if to Tenant to:

Attention: _____
Phone: _____
Fax: _____

with a copy to:

Attention: _____
Phone: _____
Fax: _____

or to such other address as Tenant may from time to time designate by written notice to the Authority, or if to the Authority, addressed to:

Hingham Housing Authority
30 Thaxter St.
Hingham, MA 02043
Attn: James Marathas
Phone: (781) 741-1417
Fax: (781) 741-9888

or to such other address as the Authority may from time to time designate by written notice to Tenant, or to such other agent or agents as may be designated in writing by either party. The earlier of: (i) the date of delivery by overnight express commercial service, or (ii) the date of delivery or upon which delivery was refused as indicated on the registered or certified mail return receipt shall be deemed to be the date such notice or other submission was given.

18.3 Severability. If any term or provision of this Lease or the application thereof to any person or circumstances shall, to any extent, be invalid or unenforceable, the remainder of this Lease, or the application of such term or provision to persons or circumstances other than

those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Lease shall be valid and be enforced to the fullest extent permitted by law.

18.4 Waiver. Failure of either party to complain of any act or omission on the part of the other party, no matter how long the same may continue, shall not be deemed to be a waiver by said party of any of its rights hereunder. No waiver by either party at any time, express or implied, of any breach of any provision of this Lease shall be deemed a waiver of a breach of any other provision of this Lease or a consent to any subsequent breach of the same or any other provision. If any action by either party shall require the consent or approval of the other party, the other party's consent to or approval of such action on any one occasion shall not be deemed a consent to or approval of said action on any subsequent occasion or a consent to or approval of any other action on any subsequent occasion. Any and all rights and remedies which either party may have under this Lease or by operation of law, either at law or in equity, upon any breach, shall be distinct, separate and cumulative and shall not be deemed inconsistent with each other; and no one of them, whether exercised by said party or not, shall be deemed to be in exclusion of any other; and two or more or all of such rights and remedies may be exercised at the same time.

18.5 Integration. All prior understandings and agreements between the parties with respect to this Lease are merged within this Lease, which alone fully and completely sets forth the understanding of the parties.

18.6 Bind and Inure. The covenants and agreements herein contained shall bind and inure to the benefit of the Authority, its successors and assigns, and Tenant, its successors and assigns.

18.7 Notice of Lease. The Authority and Tenant mutually agree to execute herewith, in triplicate, a Notice of Lease in recordable form with respect to this Lease, which shall be recorded forthwith with the Essex County Registry of Deeds, and agree to execute, upon termination of this Lease for whatever cause, a Notice of Termination of Lease in recordable form for recording with said Registry of Deeds.

18.8 Enforcement of the Parties' Liability. Anything contained in this Lease to the contrary notwithstanding, but without limitation of Tenant's equitable rights and remedies, the Authority's liability under this Lease shall be enforceable only out of the Authority's interest in the Premises; and there shall be no other recourse against, or right to seek a deficiency judgment against, the Authority, nor shall there be any personal liability on the part of the Authority or any member of any officer, employee, agent or representative of the Authority, with respect to any obligations to be performed hereunder. Anything contained in this Lease to the contrary notwithstanding, there shall be no personal liability on the part of Tenant or any partner of Tenant, or any officer or employee of Tenant, with respect to any obligations to be performed hereunder. In no event shall any party be liable for indirect, special, consequential or punitive damages, including any lost revenues.

18.9 Captions. The captions of this Lease are for convenience and reference only and in no way define, limit or describe the scope or intent of this Lease nor in any way affect this Lease.

18.12 Massachusetts Law Governs. This Lease shall be governed exclusively by, and construed in accordance with, the laws of the Commonwealth of Massachusetts, and all claims relating in any way to this Lease shall be brought in the courts of the Commonwealth of Massachusetts.

18.13 Time of the Essence. Time shall be of the essence hereof.

18.15. No Partnership or Joint Venture. Nothing contained under this Lease shall be construed to create a partnership or joint venture between the Authority and Tenant or to make the Authority an associate in any way of Tenant in the conduct of Tenant's business, nor shall the Authority be liable for any debts incurred by Tenant in the conduct of Tenant's business, and it is understood by the parties hereto that this relationship is and at all times shall remain that of landlord and tenant.

18.16 Prevailing Party. In any litigation between the parties arising out of this Lease, or in connection with any other actions taken or notices delivered in relation to a default by any party to this Lease, the non-prevailing party shall pay to the prevailing party the prevailing party's reasonable attorneys' fees and costs incurred in connection with the enforcement of the terms of this Lease.

18.17 Brokers. The Authority and Tenant each warrants and represents to the other that it has had no dealings or negotiations with any broker or agent in connection with this Lease. Each agrees to pay, and shall hold the other harmless and indemnified from and against any and all costs, expenses (including without limitation counsel fees) or liability for any compensation, commissions and charges claimed by any broker or agent resulting from any such dealings by the indemnifying party with respect to this Lease or the negotiation therefor.

18.18 Covenants Running with the Land. Tenant intends, declares, and covenants, on behalf of itself and all future holders of Tenant's interest hereunder, that this Lease and the covenants and restrictions set forth in this Lease regulating and restricting the use, occupancy, and transfer of the Premises (a) shall be and are covenants running with the Premises, encumbering the Premises for the Term of this Lease, binding upon Tenant and Tenant's successors-in-interest; (b) are not merely personal covenants of Tenant; and (c) the benefits shall inure to the Authority.

18.19 Tenant Request for Consent. Tenant shall reimburse the Authority for its reasonable attorneys' fees and out-of-pocket expenses incurred in connection with any request by Tenant for the Authority's consent hereunder.

[Signature on Following Page]

EXECUTED as of the date first set forth above.

HINGHAM HOUSING AUTHORITY
By Its Board of Commissioners

TENANT:

By: _____
Name:
Title:

Exhibits

Exhibit A – Legal Description of Premises

Exhibit B – Plan of Premises

Exhibit C – Ground Lease Mortgagee Protection Provisions

EXHIBIT A

LEGAL DESCRIPTION OF PREMISES

EXHIBIT B

PLAN OF PREMISES

EXHIBIT C

GROUND LEASE MORTGAGEE PROTECTION PROVISIONS